DE–5785 **11**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, MAY 2013.

BUSINESS COMMUNICATION

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the importance of communication for a business organisation.

2. What are the essential features in the layout of a business letter?

3. Explain briefly the types of enquiry letter.

4. Write short note on:

   (a) Execution of an order and

   (b) Cancellation of an order.

5. You have received an order for Rs. 10,000. You do not have stock of goods. Write a letter for requesting extension of 15 days time for despatching goods.

6. Prepare a specimen agenda for a Board meeting.

7. State the different features of a short report.

8. List out the various elements of a good banking correspondence.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Discuss briefly the different kinds of business letter.

10. As a book publisher, draft a letter answering trade enquiry of a book seller.

11. One of your customers helps an amount of Rs. 10,00,000 as outstanding for the past 9 months. Draft a suitable collection letter to collect the amount from him.

12. Write a letter to an agent asking him to receive a consignment on sale or return basis.

13. Write a letter from an insurance company to a policy holder intimating the lapse of his policy due to non-payment of premium.

14. As a chairman of Sakthi Sugars Limited, address the twenty seventh annual general meeting of the company.

15. Draft an application for the post of secretary of a large public limited company.

DE–5786 **12**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, MAY 2013

BASIC FINANCIAL ACCOUNTING

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is accounting? What are its objectives?

2. What is 'journal'? Explain its importance.

3. A bill for Rs. 4,500 is drawn by Ram on shyam and accepted by the latter payable at the central bank of India. Show what entires would be passed in the books of both the parties under each of the following circumstances.

   (a) If they retained the bill till the due data and then realized it on maturity.

   (b) If they discounted it with their bankers. the bank of Baroda ltd. for Rs. 4,380

   (c) If they endorsed it over their creditors mehatab in settlement of their debt Rs. 4,520.

4. A charity hospital had paid Rs. 23,000 during 1995 under the head salaries. The salary paid includes Rs. 500 for 1994 and Rs. 500 for 1996 but Rs. 1,500 was payable for 1995 show how these items will appear in income and expenditure account for the year 1995, and opening and closing balance sheets of the hospital.

5. *X* of Calcutta sent on 15th January 2006 a consignment of 500 toys costing Rs. 100 each, expenses of Rs. 700 met by the consignor. Y of Bombay spent Rs. 1,500 for clearance and the selling expenses were Rs. 10 per bicycle.

   Y sold on 4th April 2006. 300 pieces @ Rs. 160 per piece and again on 20th June 2006. 150 pieces @ Rs. 172.

   Y was entitled to a commission of Rs. 25 per piece sold plus one fourth of the amount by which the gross proceeds legs total commission there on exceeded a sum calculated at the rate of Rs. 125 per piece sold. *Y* sent the amount due to *X* on 30th June 2006.

   You are required to show the consignment account and *Y*'s account in the books of *X*.

6. Ascertain the credit sales by preparing total debtors account from the following information.

	Rs.
Debtors as at 31.3.2002	28,000
Debtors as at 31.3.2001	24,000
Sales returns	1,000
Cash received from debtors	74,800
Bills receivable drawn	26,000
Discount allowed	1,000
Bad debts	1,000
Cheques received from debtors	10,000
Bills receivable dishonoured	4,000
Cheques dishonoured	6,000

7. From the following particulars write up necessary adjustment accounts as they would appear in the general ledger.

	Rs.		Rs.
Debtors balance in ledger adjustment a/c (credit)	49,850	Discount allowed by the business	1,540
Creditors balance in ledger adjustment a/c (debit)	28,010	Return inwards	1,795
Credit sales	40,400	Return outwards	2,240
Cash sales	18,080	B/P accepted	5,300
Cash purchases	15,930	B/R received	3,500
Credit purchases	27,600	B/R dishonoured	325
Creditors paid off	26,500	Interest charge for dishonoured bill	20
Received from debtors	44,100	Allowances	1,605
Discount allowed to the business	1,450	Bad debts	1,495
		Transfer from debtors to creditors ledger	400

8. Explain the different methods of depreciation.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. From the following balances prepare a trial balance as on 30th June 2006

		Rs.
(a)	Cash account	12,220
(b)	Capital account	45,000
(c)	Bank account (debit bal)	14,000
(d)	Purchases account	22,000
(e)	Furniture account	5,000
(f)	Sales account	12,500
(g)	Returns outward account	1,000
(h)	Discount account (credit)	20
(i)	Drawings account	1,000
(j)	Telephone rent account	400
(k)	Stationery account	200
(l)	Rent account	1,000
(m)	Salaries account	2,500
(n)	Returns inwards	200

10. A partner had with drawn the following sums of money during the half year ending 30th June 1989.

	Rs.
January 15	300
February 28	250
March 10	150
March 26	200
April 20	400
May 16	300
June 18	500

Interest to be charged at 8% p.a. Find out the average due date and calculate the amount of interest to be debited to the partner.

11. How would the following items appear in the income and expenditure account of a sports club.

	Rs.
Opening stock of sports materials	12,000
Opening creditors for sports materials	5,000
Payment for sports materials during current year	42,000
Sale of old sports materials	1,000
Closing stock of sports materials	15,000
Closing creditors for sports materials	6,000

12. A commenced business on 1st January 2005 with a capital Rs. 25,000. He immediately bought furniture for Rs. 6,000. During the year he borrowed Rs. 15,000 from his wife and introduced further capital of his own amounting to Rs. 9,500. He had withdrawn Rs. 900 at the end of each month for family expenses. On 31st December 2005 his position was follows.

	Rs.
Cash in hand	600
Cash at bank	7,800
Sundry debtors	14,400
Stock	20,400
Bills receivable	4,800
Sundry creditors	4,000
Owing for rent	300

Furniture and fixture to be depreciated by 10%. Ascertain the profit or loss made by X for the year 2005.

13. B.Ltd of Delhi consigned 1,000 cases of milk powder to S of Bombay. The goods were charged at proforma invoice value of Rs. 10,000 including a profit of 25% on invoice price. The consignors paid Rs. 600 for freight and insurance. Consignee paid import duty Rs. 1,000, dock dues Rs. 200 and sent to the consignors a bank draft of Rs. 4,000 as advance. They sold 80 cases for Rs. 10,500 and sent for the balance due to the consignors after deducting commission of 5% on gross sale proceeds. Show ledger account in the books of the consignor.

14. In the general ledger of Muthukumar company Ltd. Prepare sales ledger adjustment account form the following particualars.

2001		Rs.
Jan 1	Balance of sundry debtors	80,000
Dec 31	Credit purchases	45,000
	Credit sales	1,96,000
Dec 31	Received cash from debtors	1,56,000
	Allowed discount	4,000
	Received bill receivable	30,000
	Returns inwards	17,500
	Returns outwards	6,000
	Rebate allowed to debtors	5,500
	Bad debts	9,000
	B/R dishonoured	7,500

15. A company whose accounting year is the calendar year. Purchased on 1st April 2004, machinery costing Rs. 30,000. It Purchased further machinery on 1st October. 2004 costing Rs. 20,000 and on 1st July. 2005 costing Rs. 10,000 on 1st January 2006. One third of the machinery installed on 1st April 2004 become obsolete and was sold for Rs. 3,000; Machinery is depreciated on fixed instalment method at 10 percent per annum. Show the machinery account.

DE–5787 **13**

DISTANCE EDUCATION

B.B.A.(CS) DEGREE EXAMINATION, MAY 2013.

PRINCIPLES OF MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. How does management differ from Administration?

2. Discuss Henri Fayol's principles of management.

3. 'Decision-making is the primary task of management ' in the light of this statement, discuss the role of decision-making in management.

4. What is planning? What are its advantages?

5. Define directing and discuss the nature and principles of directing.

6. Describe the various leadership styles.

7. Distinguish between formal and informal communication. What are the merits and demerits of informal communication?

8. Describe the various stages involved in control process.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR of the following.

9. Explain the various functions of management.

10. Explain the main features of scientific management.

11. Explain the types of plans.

12. Distinguish between delegation and decentralisation. Explain the factors that determine the degree of decentralisation.

13. Explain Herzberg's theory of motivation?

14. What are the barriers to effective communication system? What measures do you suggest to overcome them?

15. What is coordination? Explain the different types of coordination.

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DE–5788 **14**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, MAY 2013.

COMPANY LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

1. What is a Corporate Veil? When do the courts lift it?

2. What are two main purposes of memorandum of association?

3. What is doctrine of ultra vires?

4. How does a person become a member of a Company?

5. What is forfeiture and reissue of shares?

6. What are the powers of directors in a company?

7. What is a statutory report? What are its contents?

8. What is Voluntary winding up of a company?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the various types of companies.

10. What is a memorandum of association? What are its contents?

11. Explain the rights and liabilities of a member in a company.

12. Explain the different kinds of share capital.

13. What are the qualifications of a director? When is a person disqualified for appointment as director of company?

14. What is resolutions? Explain the various kinds of resolutions.

15. Describe the duties and powers of a liquidator appointed by the Tribunal.

DE–5789 **15**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, MAY 2013.

MANAGERIAL ECONOMICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the concepts of Managerial Economics.

2. Explain cardinal and ordinal utility analysis.

3. Why demand curve slopes downwards?

4. What are the features of Perfect Competition?

5. Explain Cobb-Douglas production function.

6. Distinguish between perfect Competition and Monopoly Competition.

7. Explain Marshall's Time perspective.

8. What are the five types of Price Elasticity of demand?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain Price – Output determination under price discrimination.

10. What are the methods of demand forecasting?

11. Explain the measurement of Elasticity of demand.

12. What is consumer surplus? Explain.

13. Explain in detail about the Law of Returns to scale.

14. Briefly explain the Equi – marginal utility.

15. Discuss the types of Elasticity of demand-price, income, Cross Elasticity.

DE–5790 **21**

DISTANCE EDUCATION

B.B.A. (CS) / B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

SECRETARIAL PRACTICE

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define the term 'Secretary'. How is the secretary of a company is appointed.

2. Explain the Secretarial procedures for issue of shares.

3. What is a Share Certificate? Explain its contents.

4. Explain the Classification of meetings.

5. Define the term dividend. Explain various kinds of dividends with legal provisions.

6. What are the Secretarial procedures for the appointment of directors.

7. Explain the models of winding up of a company.

8. What is a defunct company? How a company becomes defunct?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the role and responsibilities of a company secretary.

10. Explain the secretarial procedures relating transfer and transmission of shares.

11. Discuss the Secretarial duties in connection with Annual general meeting of a company.

12. Discuss the duties of a secretary at the time of issue of dividends.

13. What are duties and liabilities of a secretary at the time of appointment and removal of directors.

14. Explain briefly about voluntary winding up of a company.

15. Discuss the duties of a secretary in respect of winding up of a company.

DE–5791 **22**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A (CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

COMMERCIAL LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is acceptance? Explain its legal rules.

2. Distinguish between contract of Indemnity and contract of guarantee.

3. Distinguish between sale and hire-purchase agreement.

4. What is meant by crossing of a cheque? Who can cross a cheque? What is the difference between a general crossing and special crossing?

5. Define partnership. What are its essential characteristics?

6. What is an arbitration agreement? What can be submitted for arbitration?

7. Who is a 'common carrier'? State the rights duties and liabilities of common carrier.

8. Explain the various principles of Insurance.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What are the various ways in which a contract may be discharged?

10. Define 'Agent' and 'Principal'. What are the different kinds of agents?

11. When a seller of goods is deemed to be an unpaid seller? What are his rights against (a) the goods, and (b) the buyer personality?

12. Distinguish between (a) a bill of exchange and promissory note and (b) bill of exchange and a cheque.

13. Explain briefly various rights and duties of a partner.

14. Explain the various liabilities of the air carrier.

15. Discuss the different types of five insurance policies.

DE–5792 **23**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

BUSINESS STATISTICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the characteristics of statistics?

2. Write short notes on :
   (a) Arithmetic mean.
   (b) Geometric mean.

3. Compute Harmonic mean for the following data :

Family :	1	2	3	4	5
Income :	70	75	42	36	40

4. Computation of median from the following data :

x :	10	10.5	11	11.5	12	12.5	13
y :	5	8	14	8	14	20	17

5. The marks obtained by 100 students of a class are given below :

Maks :	40	42	47	52	65
No. Students :	19	21	27	16	13

Calculate Karl Pearson's co-efficient skewness.

6. Calculate the co-efficient of concurrent deviation from the following :

X :	30	40	55	37	33	48	53
Y :	45	40	37	65	24	66	76

7. Construct an index number for the year 2009 taking 2008 as base.

Commodity	Price 2008	Price 2009
Wheat	180	190
Sugar	190	200
Rice	200	205
Cotton	210	215

8. Calculate three-yearly moving average of the following data :

Year :	2001	2002	2003	2004	2005
No. of students :	15	18	17	20	23
Year :	2006	2007	2008	2009	2010
No. of students :	25	29	33	36	40

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain scope of statistics.

10. Find out the quartiles from the following data :

Marks :	10-20	20-30	30-40	40-50	50-60
No. of students :	14	12	10	15	19

11. Calculate standard deviation and co-efficient of variation from the data given below :

Class integrals :	0-15	15-30	30-45	45-60
Frequency :	44	56	62	75
Class integrals :	60-75	75-90	90-105	105-120
Frequency :	69	42	39	32

12. Calculate Kelly's co-efficient of skewness from the following data :

X :	110	135	160	185	210	235	260
Y :	22	28	35	40	20	30	25

13. From the following data calculate the rank correlation co-efficient after making adjustment for tied ranks.

x :	58	43	30	9	26	26	75	14	26	67
y :	23	23	24	6	25	14	30	19	16	29

14. Following are the data related with the prices and quantity consumed for 2010 and 2011.

Commodity	2010		2011	
	Price (Rs.)	Qty. (kg)	Price (Rs.)	Qty. (Kg)
Rice	25	10	27	15
Wheat	20	5	22	7
Sugar	22	4	24	6
Tea	15	2	17	5

Construct price Index numbers by

(a) Laspeyer's method

(b) Paaschey's method

(c) Bowley-Doorlish method

(d) Fisher's method.

15. Calculate four yearly moving averages from the following data :

Year :	1	2	3	4	5	6	7	8	9	10	11	12	13
Value :	41	61	55	48	53	67	62	60	67	73	78	76	84

DE–5793 **24**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

ADVANCED ACCOUNTANCY

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the advantages of departmental accounting?

2. Define Goodwill and describe the factors affecting goodwill.

3. State the legal provisions relating to issue of shares at discount.

4. Explain different methods for calculation of purchase consideration.

5. A head office sends goods to its branch at invoice price at 25% profit. From the following particulars find out Gross profit and Net profit.

   Stock on 01.04.10 (invoice price) Rs.15,000. Goods sent to branch (invoice price) Rs.67,000. Expenses at branch Rs 7,250. Stock on 31.03.11 (invoice price) Rs. 13,400. Shortage of stock at branch Rs. 200.

6. A, B and C were equal partners. On 1.4.10 C died, for which purpose the following adjustments are agreed upon:

(a) Increase the value investment by Rs. 29,000. (b) To reduce the stock by Rs. 6,000.(c) Provision for bad debts of Rs. 900 is not necessary.(d) Unshared profits of the firm is Rs. 15,000.(e) C's capital was Rs. 20,000. Show the Journal entries and the amount payable to legal heirs of C.

7. A company forfeited 10 shares of Rs. 10 each(issued at a premium of 10%) for non payment of a final call of Rs. 3 per share. Out of these, 7 shares were reissued at Rs. 8 per share as fully paid up. Give journal entries.

8. From the following particulars calculate the maximum remuneration available to a full time Director of a company. The profit and loss A/c shows net profit Rs. 12, 00,000 after taking in to account of the following items: (a) Depreciation (including special depreciation Rs. 12,000) Rs. 30,000, (b) Provision for income tax Rs. 60,000: (c) Donation to political parties Rs. 15,000: (d) Ex-garatia payment to a worker Rs. 3,000; (e) Capital Profit on sale of assets Rs. 4,500.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Metha Ram of Ram Nagar purchased goods for his three departments are as follows:

Department A - 400 units

Department B - 2,800 units

Department C - 800 units

Total cost Rs.10,200

Sales of three departments were as follows:

Department A - 360 units of Rs. 15 per unit

Department B - 3,000 units at Rs. 18 per unit

Department C - 900 units at Rs. 6 per unit

Stock in the beginning was as follows

Department A - 200 units

Department B - 800 units

Department C - 120 units

Metha Ram informs you that the rate of gross profit is the same in all departments. You are required to prepare departmental trading A/c.

10. On 1.1.2000, Rekha Ltd., leased piece of land agreeing to pay a minimum rent of Rs.2,000 in the first year, Rs.4,000 in the second year and thereafter Rs.6,000 per annum, merging into a royalty of Rs 4 per tonne, with power to recoup short workings over the first three years only. Annual output for the four years to 31st December 2003 were 100, 1,000, 1,800 and 2,000 tonnes respectively. Prepare Short workings and land lord account in the ledger of the Company.

11. X and Y are partners sharing profits in the ratio of 3:1 Their Balance Sheet stood as under on 31.12.10.

Liabilities		Rs.	Assets		Rs.
Capital :			Stock		15,000
	X 45,000		Prepaid Insurance		1,500
	Y 30,000	75,000	Debtors	12,000	
			Less: Provision	750	11,250
Salary due		7,500			
Creditors		60,000	Cash		27,750
			Machinery		33,000
			Buildings		45,000
			Furniture		9,000
		1,42,500			1,42,500

Z is admitted as a new partner introducing a capital of Rs. 30,000, for his 1/4th share in future profit. Following revaluations are made:

(a) Stock to be reduced by 5%.

(b) Furniture to be depreciated @ 10%

(c) Building is revalued at Rs. 67,500

(d) The provision for bad debts to be increased to Rs.1,500.

Prepare Revaluation Account and Balance Sheet after Z's admission.

12. M, N and O are partners sharing profits in the ratio of 3:2:1. Their Balance Sheet as at 31.12.05 on which date, they dissolved partnership.

Liabilities	Rs.	Assets	Rs.
Creditors	30,000	Premises	40,000
M'S capital	60,000	Plant	30,000
N'S capital	40,000	Stock	30,000
O'S capital	30,000	Debtors	60,000
	1,60,000		1,60,000

It was agreed to repay the amounts due to the partners as and when the assets were realized, viz: On 1.2.06 Rs. 30,000: On 1.4.06 Rs. 73,000: On 1.6.06 Rs.47,000. Prepare a statement how the distribution to the partners should be made.

13. X Ltd issued 20,000 shares of Rs. 10 each at a premium of Rs. 2 per share payable, Rs. 2 on application, Rs. 5 on allotment including premium, Rs. 2 on first call and Rs. 3 on final call. Applications for 30,000 shares were received. Allotment was made on pro rata to the applications for 24,000 shares, the remaining applications being rejected. Money over paid on application was utilized towards sums due on allotment.

Y a shareholder to whom 800 shares were allotted failed to pay the allotment & call money, these shares are forfeited and reissued to Z at Rs 8.00 per share as fully paid up. Give journal entries.

14. Shri Soundharya Ltd. was incorporated on 1.5.08 to take over the running business of M/s. Ratna Bros with effect from 1.1.08. From the following details for the year ended 31.12.08, prepare a statement showing profit or loss made during pre and post incorporation periods.

Particulars	Rs.	Particulars	Rs.
Gross Profit	3,00,000	Underwriting commission	20,000
Salaries	48,000	Insurance premium paid for the year ending 31.3.09	12,000
Provision for bad debts	6,000	Interest on loans taken (including Rs.2,000 on loan taken after incorporation)	14,000
Commission to partners	8,000	Carriage outward	16,000
Advertisements	6,000	Depreciation	18,000

The following additional data is also available:

(a) Average monthly sales during the first four months of the year was twice the average monthly sales during each of the remaining eight months.

(b) 20% of the underwriting commission is to be written off.

(c) Commission to partners was paid for their work before incorporation.

(d) Salaries includes salary paid to a director of the company Rs. 6,000.

15. "X" Co. Ltd., agreed to acquire the business of Y co. Ltd. Its Balance sheet is as follows.

Liabilities	Rs.	Assets	Rs.
Equity capital (shares of Rs. 10 each)	3,00,000	Good will	60,000
General reserve	80,000	Land and buildings	1,20,000
Debentures	50,000	Plant and Machinery	2,00,000
Creditors	10,000	Stock	80,000
P and Loss a/c	60,000	Debtors	30,000
		Cash	10,000
	5,00,000		5,00,000

The consideration was as follows:

(a) A cash payment of Rs.4 for every share of Y Ltd.

(b) The issue of one share of Rs.10 each at market value of Rs.12.50 in the X. Co. Ltd. for every share in Y Ltd.

(c) The issue of 1,100 debentures of Rs.50 each in X Co. Ltd. to enable Y Ltd. to discharge its debentures at a premium of 10%.

(d) The expenses of liquidation of Y Ltd. Amounting to Rs. 4,000 was to be met by themselves.

Give the journal entries in the books of Y Ltd.

DE–5794 **25**

DISTANCE EDUCATION

B.B.A. (CS) B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

CORPORATE FINANCE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the objectives of financial management.

2. State the important characteristics of financial planning.

3. What do you mean by optimum capital structure?

4. What is debenture? What are its features?

5. What are the functions of state finance corporations?

6. State the different types of working capital.

7. What are the advantages of having adequate working capital in a firm?

8. What are preference shares? State its merits.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. State the importance of financial management.

10. State the factors affecting financial planning.

11. Describe the traditional approach to capital structure.

12. What do you understand by ploughing back of profits? Explain its advantages.

13. Explain the functions of industrial credit and Investment Corporation of India Ltd.

14. Explain briefly the different sources of working capital.

15. Explain the various sources of long term capital.

DE–5795 **31**

DISTANCE EDUCATION

B.B.A.(CS)/B.B.A.(CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

CAPITAL MARKET LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is a Primary market? State its advantages.

2. What is listing of securities? Explain the advantages of listing.

3. Define stock exchange. Explain briefly the conditions to be fulfilled for recognition of stock exchange.

4. What is SEBI? Explain its organization and management.

5. Explain the procedure of Trading in NSE.

6. Explain the various measures undertaken by the SEBI to protect the small investors.

7. Explain briefly the various participants of capital market.

8. Who is a merchant banker? Explain its functions.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain briefly the organisation and structure of securities market in India.

10. State the important functions of a stock exchanges.

11. Explain briefly various powers of SEBI in regulating the capital market.

12. Briefly explain the special features of OTCEI.

13. Explain the origin and development of National stock exchange.

14. Explain the government in regulating the stock exchanges.

15. Explain the causes for price fluctuation in stock market.

DE–5796 **32**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

TAX LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Who are the different types of Assessees?

2. Explain the incomes for which Previous year and the Assessment year are same.

3. Who is a resident and ordinary resident individual?

4. What is an Allowance? List out the allowances fully taxable.

5. Enumerate the income of house property fully exempted.

6. What are the incomes chargeable to tax under the head "Profits and gains" of business or profession?

7. What is long term capital gain? When it is exempted U/S 54?

8. Explain the incomes from undisclosed sources.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What are the principles of Taxation?

10. What are the incomes deemed to accrue or arise in India?

11. What are the perks taxable for all cases?

12. Mrs. Vishnu is employed as secretary to Government of Tamil Nadu drawing Basic salary Rs. 25,000 p.m. D.A Rs. 2,000 p.m. Education Allowance for 3 children Rs. 300 p.m. per child. Bonus Rs 1,000 p.m. Commission Rs. 500 p.m. Entertainment allowance Rs. 500 p.m. License fee of the rent free house provided by the Government Rs. 40,000 p.a. Value of furniture provided Rs. 20,000. Employer contribution to P.F. Rs. 1,500 p.m. Interest credited @ 10% Rs. 10,000. Find out income from salaries.

13. Mr. Rangarajan owned four houses. Their Municipal valuations are Rs. 60,000, Rs. 70,000, Rs. 50,000 and Rs. 1,00,000 respectively. The Municipality levy's 10% tax. The first house is occupied for his residence. The second house is let out at a monthly rent of Rs. 8,000. The third house is also let out at an annual rent of Rs. 66,000. In the fourth house he is running his business. He claims the following deductions :

    (a) Interest on borrowings of the first house Rs. 5,000.

    (b) Rs. 6,000 paid as salary to gardener in respect of third house is collected as rent.

    (c) Second house is constructed with the loan of Rs. 60,000 @ 10% interest. Date of borrowings 01.04.2009. Construction completed on 01.09.2011.

    Compute the taxable income from house property.

14. Dr. Saravanan is a medical practitioner. He gives you the following cash book for the year ending 31.03.11.

Receipts	Rs.	Payments	Rs.
Balance b/d	50,000	Salaries	1,20,000
Consultation Fess	3,00,000	Rent of clinic	90,000
Visiting fees	2,25,000	Purchase of medicine	1,90,000
Gifts and presents	40,000	Surgical equipment	2,00,000
Sale of medicine	2,10,000	Car expenses	40,000
Dividend	60,000	Household expenses	35,000
LIC maturity	5,00,000	Purchase of Car	7,00,000
		Balance c/d	10,000
	13,85,000		13,85,000

Compute his income from Profession for the P.Y. 2010 – 11 after taking in to account the following :

(a) The car was purchased on 01.12.2010 and 50% of Car expenses are incurred for personal use.

(b) Rate of depreciation on Car and on surgical equipments are 15%.

(c) Gifts and presents include Rs. 15,000 from relatives.

(d) Opening stock of medicine Rs. 20,000 and Closing stock of medicine Rs. 60,000.

15. Janaki purchased gold for Rs. 3,00,000 on 30.6.1987 (Fair Market Value Rs. 3,50,000. Janaki sold the gold in November 2010 for Rs. 74,25,000. Transfer expenses Rs. 3,000. She has purchased rural Electrification Corporation Ltd. Bond for Rs. 3,00,000 on 14.01.2011.

She has also purchased a residential house for Rs. 40,00,000 and deposited Rs. 10,00,000 in the capital gain account scheme for further construction of the same house on 31.7.2011. She plans to withdraw the deposit of Rs. 6,00,000 in the PY 2013 – 14 for further construction. Compute the taxable capital gain for the PY 2010 – 11 and PY 2013 – 14.

CII = 1987 – 88 = 150, 2010 – 11 = 711.

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DISTANCE EDUCATION

B.B.A./B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

ECONOMIC LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the criteria for the grant of industrial license?
2. Write short note on: Imposition of cess on scheduled industries.
3. State the powers of authorised persons.
4. Can a person resident outside India acquire immovable property in India? Explain.
5. What is registrable agreement under MRTP Act 1969?
6. Write an explanatory note on Re-sale price maintenance.
7. Discuss 'Ecomark' and 'Environmental audit'.
8. What are the commodities comes under essential commodities Act?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the provisions relating to the licensing of new industrial undertaking under IDRA.
10. State the purposes for which an industrial license is required under the IDRA, 1951.

11. What are the duties of an authorised person?

12. "All restricted trade practice agreements are not necessarily void". Examine the statement.

13. Discuss the regulations of foreign exchange.

14. Highlight the salient features of the Environmental Protection Act 1986.

15. Discuss the prevention of black-marketing under essential commodities act.

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DISTANCE EDUCATION

B.B.A. (C.S.)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

COST ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. What are the elements of cost? State different elements of cost.

2. In a manufacturing concern, material X is used as follows :

   Maximum consumption 9000 units per week

   Minimum consumption 3000 units per week

   Normal consumption 6000 units per week

   Reorder quantity 36000 units

   Time required for delivery 4 to 6 weeks

   Time required for emergent supplies: 1 week

   Calculate:

   (a) Reorder level

   (b) Minimum level

   (c) Maximum level

   (d) Danger level

   (e) Average stock level.

3. From the following particulars work out the earning of a worker for a week under (a) Straight piece rate (b) Differential piece rate (c) Halsey premium scheme (50%) (d) Rowan premium scheme.

Weekly working hours : 48

Hourly wage rate : Rs. 7.50

Price rate per unit : Rs. 3.00

Normal time taken per piece : 24 minutes

Normal output per week : 120 pieces

Actual output for the week : 150 pieces

Differential piece rate : 80% of piece rate when output is below normal, and 120% of piece rate when output above normal.

4. Compute the labour cost per man day of 8 hours from the details given below :

(a) Basic salary Rs. 65 per day.

(b) Dearness allowance: Re. 0.50 per every point over 100 cost of living index for working class. Current cost of living index is 700 points.

(c) Leave salary : 10% of (a) and (b).

(d) Employer's contribution to P.F. 8% of (a)+(b)+(c).

(e) Employer's contribution to State Insurance : 2.5% of (a)+(b)+(c).

(f) Expenditure on amenities to labour : Rs. 25 per head p.m.

(g) Number of working days in a month : 25 days of 8 hours.

5. Show the stores ledger entries under simple average and weighted average methods from the following transactions showing the effects of each method.

April 2010	Particulars	Units	Price
1	Balance in hand b/f	300	2.00
2	Purchased	200	2.20
4	Issued	150	
6	Purchased	200	2.30
11	Issued	150	
19	Issued	200	
22	Purchased	200	2.40
27	Issued	150	

6. What is standard costing? Explain the methods of standard costing.

7. In a process B, 75 units of a commodity were transferred from process A at a cost of Rs. 1,310. The additional expenses incurred by the process were Rs. 190. 20% of the units are normally lost and sold @ Rs. 4 per unit. The output of the process was 70 units. Prepare Process B account and abnormal gain account.

8. Journalise the following transactions assuming cost and financial accounts are integrated :

Wages paid (30% indirect) Rs. 12,000

Raw material purchased Rs. 20,000

Direct materials issued to production Rs. 15,000

Wages charged to production Rs. 9,500.

Stores adjustment (credit in financial books) Rs. 475

Depreciation of stock charged in financial books Rs. 6,750.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

9. Explain different types of wage and bonus payment.

10. M/S V industries manufactures a product X. On 1st January 2009, there were 500 units of finished product in stock. Other stocks on 1st January, 2009 were as under :

Work-in-progress Rs. 5,740 and raw materials Rs. 11,620. The information available from the cost records for the year ended 31st December, 2009 was as follows :

Indirect labour Rs. 12,160; direct labour Rs. 32,640; freight on materials purchased Rs. 5,570; stock of raw materials on 31.12.2008 Rs. 9,640; other factory expenses Rs. 31,730; work-in-progress on 31.12.2009 Rs. 7,820; sales – 15,000 units Rs. 3,60,000; indirect materials Rs. 21,390; total manufacturing cost incurred Rs. 1,94,080.

There are 1500 units of product in finished goods stock on 31.12.2009.

Prepare a statement of cost for 2008 with break-up details and determine the unit cost at which finished goods stock is valued at the beginning and end of 2009.

11. The following is the summary of the receipts and issues of materials in a factory during the month of October :

		Kg	Rate @ Rs.
October 1	Opening balance	500	25.00
3	Issue	70	
4	Issue	100	
8	Issue	80	

		Kg	Rate @ Rs.
13	Received from suppliers	200	24.50
14	Refund of surplus from a work order	15	24.00
16	Issue	180	
20	Received from suppliers	240	24.75
24	Issue	304	
25	Received from suppliers	320	24.00
26	Issue	112	
27	Refund of surplus from a work order	12	24.50
28	Received from suppliers	100	25.00

The stock verifier of the factory noticed that on 15th he had found a shortage of 5 Kg and on 27th another shortage of 8 Kg.

Prepare Stores ledger under FIFO, LIFO and Weighted average methods.

12. Bright Limited is a manufacturing company having three production departments A, B and C and two service departments X and Y. The following is the budget for December 2009.

Particulars	A	B	C	D	E
	Rs.	Rs.	Rs.	Rs.	Rs.
Direct Materials	1,000	2,000	4,000	2,000	1,000
Direct wages	5,000	2,000	8,000	1,000	2,000
Factory rent	4,000				
Power	2,500				
Depreciation	1,000				
Other overheads	9,000				

The additional information is given below :

Particulars	A	B	C	X	Y
Area (Sq. ft)	500	250	500	250	500
Capital value of asset (in Rs. Lakhs)	20	40	20	10	10
Machine hours	1000	2000	4000	1000	1000
Horse power of machines	50	80	80	15	25

A technical assessment for the apportionment of expenses of service departments is as follows :

Particulars	A	B	C	X	Y
Service Dept. X	45%	15%	30%	–	10%
Service Dept. Y	60%	35%	–	5%	–

Prepare :

(a) Statement showing distribution of overheads to various departments.

(b) Statement showing redistribution of service department expenses to production departments under repeated distribution method and simultaneous equation method.

13. From the particulars given below, prepare the labour cost per man day of 8 hours :

(a) Basic salary Rs.55 per day.

(b) Dearness allowance: Re. 0.50 per every point over 100 cost of living index for working class. Current cost of living index is 700 points.

(c) Leave salary: 10% of (a) and (b).

(d) Employer's contribution to P.F. 8% of (a)+(b)+(c).

(e) Employer's contribution to State Insurance: 2.5% of (a)+(b)+(c).

(f) Expenditure on amenities to labour: Rs. 20 per head p.m.

(g) Number of working days in a month: 25 days of 8 hours.

14. A chemical passes through three processes C1, C2 and C3 to get a final product. The following information is furnished :

(a) Number of units introduced in Process C1 was 1000 units @ Rs. 6 per unit and the output was 950 units with a normal wastage of 5% which was sold for Rs. 2 per unit.

(b) The output of C2 process was 840 units with 10% normal waste, sold for Rs. 8 per unit.

(c) The output of process C3 was 750 units with normal loss of 15% having a sales value of Rs. 10 per unit.

Find the amount of quantity of normal loss, abnormal loss and abnormal gain in each of the processes.

15. The following is a summary of Trading and Profit and Loss of a manufacturing company for the year ended on 31st March.

Trading and Profit and Loss Account

	Rs.		Rs.
To Materials consumed	27,40,000	By Sales (120000 units)	60,00,000
To Wages	15,10,000	By Finished stock	1,60,000

	Rs.				Rs.
To Factory expenses	8,30,000	By Work-in-progress :			
To Administrative expenses	3,82,000		Materials	64,000	
			Wages	36,000	
To Selling and distribution expenses	4,50,000		Factory exp.	20,000	1,20,000
		By Divided received			18,000
To Preliminary expenses written off	40,000				
To Goodwill written off	20,000				
To Net profit	3,26,000				
	62,98,000				62,98,000

In cost accounts, the following allocations have been made :

(a) Factory expenses at 20% on prime cost.

(b) Administrative expenses at Rs. 3 per unit of production.

(c) Selling and distribution expenses at Rs. 4 per unit of sale.

Prepare a Costing Profit and Loss account and reconcile the profit with the Financial accounts.

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DISTANCE EDUCATION

B.B.A.(CS)/B.B.A.(CS) (Lateral) DEGREE EXAMINATION, MAY 2013.

FINANCIAL SERVICES

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are financial services? State a few financial services you know.

2. List out the legal aspects involved in leasing.

3. Explain clearly the various functions involved in factoring.

4. What are the special features of an Open-ended fund?

5. Explain the benefits of credit rating.

6. The scope for merchant banking is great in India – Discuss.

7. Discuss the importance of venture capital.

8. State the causes for financial innovation in the financial service sector.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the functions of various financial services.

10. Critically analyse the present position of the financial service sector in India and state the challenges it has to face in the years to come.

11. Define mutual fund and describe the various schemes that can be offered by it.

12. Explain the methodology followed by CRISIL in rating credit instruments.

13. Explain the different types of factoring and their significance.

14. Explain the services of merchant bankers.

15. Examine the recent trends in Primary market in India.